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August 18, 2025

BY ELECTRONIC SUBMISSION

Christopher Kirkpatrick
Secretary of the Commission
Commodity Futures Trading Commission
Three Lafayette Centre
1155 21st Street NW
Washington, DC 20581

Re: The CFTC's Listed Spot Crypto Trading Initiative

Dear Mr. Kirkpatrick:

Andreessen Horowitz ("a16z") appreciates the opportunity to comment on the Commodity Futures Trading Commission's ("CFTC" or "Commission") Listed Spot Crypto Trading Initiative ("Initiative"). We applaud the Commission's proactive response to the Trump Administration's directive in the President's Working Group on Digital Asset Markets report, which called for federal agencies to "immediately enable the trading of digital assets at the Federal level" using existing authorities.[1]

Our comment letter addresses three main issues. First, we discuss the critical importance of the Listed Spot Crypto Trading Initiative for U.S. competitiveness in global crypto markets. Second, we explain how the existing framework under the Commodity Exchange Act ("CEA") and CFTC regulations explicitly provides that leveraged retail spot crypto contracts (not involving actual delivery within 28 days) are regulated as futures, and how this framework provides robust protection for retail investors. Third, we urge the Commission or Commission staff to clarify through an advisory or other interpretive letter that existing cryptocurrency futures guidance applies equally to leveraged retail spot crypto contracts.

I. Background on a16z

A16z is a venture capital firm that invests in seed, venture, and late-stage technology companies, focused on bio and healthcare, consumer, crypto, enterprise, fintech, and games. As of 2025, a16z has more than $74 billion in assets under management across multiple funds, with more than $7.6 billion in committed capital for crypto funds. In crypto, a16z primarily invests in companies using blockchain technology to develop protocols that people will be able to build upon to launch Internet businesses. A16z funds typically have a 10-year time horizon, as the firm takes a long-term view, and does not speculate in short-term crypto-asset price fluctuations.

[1] President's Working Group on Digital Asset Markets, Strengthening American Leadership in Digital Financial Technology (July 2025), https://www.whitehouse.gov/wp-content/uploads/2025/07/Digital-Assets-Report-EO14178.pdf.

II. U.S. Competitiveness Demands Immediate Action on Leveraged Spot Crypto Trading

The Commission's Initiative arrives at a critical juncture for American competitiveness in global digital asset markets. For years, U.S. retail investors seeking leveraged exposure to cryptocurrency markets have been systematically driven to offshore platforms, where exchanges operating under more permissive regulatory regimes have captured enormous market share and trading volume. This regulatory arbitrage has created a troubling dynamic where American innovation, capital, and trading activity migrate overseas, undermining the United States' historic position as the world's preeminent financial marketplace.

The scope of this competitive disadvantage cannot be overstated. Offshore cryptocurrency exchanges currently handle the majority of global crypto trading activity, offering leveraged trading products that combine immediate price discovery with capital efficiency that American retail investors simply cannot access through domestic channels. These platforms have built sophisticated trading ecosystems specifically designed to attract users from jurisdictions that impose burdensome restrictions or otherwise prohibit certain crypto-related activities, offering leverage ratios and product structures that would be prohibited under current U.S. regulatory frameworks. The result has been a massive outflow of American market activity and the development of parallel financial infrastructure that operates entirely outside U.S. regulatory oversight and consumer protection frameworks.

This offshore migration creates several compounding problems for American markets and investors. First, it forces American retail participants to accept suboptimal investment outcomes by limiting them to complex derivatives products that introduce basis risk and other complications that can significantly impact returns over time. Second, it deprives American exchanges of trading volume and revenue that could support continued innovation and market development within the U.S. regulatory framework. Third, it creates systemic risks as American investors increasingly rely on platforms that may not provide equivalent levels of regulatory protection, customer fund segregation, or legal recourse in the event of disputes or platform failures.

The Commission's Initiative, alongside actions taken by other federal regulators including the Securities and Exchange Commission, represents a crucial opportunity to reverse this trend of offshoring by providing American retail investors with access to leveraged spot crypto products within a comprehensive regulatory framework that maintains the high standards of market integrity and investor protection that characterize U.S. derivatives markets.

For these reasons, we commend the CFTC for its commitment to advancing digital asset markets under its existing authorities, demonstrating the Commission's sustained focus on addressing the competitive challenges facing American crypto markets. The Commission has already demonstrated its expertise in addressing leveraged retail spot crypto transactions through its 2020 Final Interpretive Guidance on retail commodity transactions involving certain digital

assets.[2] The Digital Asset Actual Delivery Guidance clarified that "actual delivery" of virtual currency requires customers to secure both possession and control of the entire quantity of the commodity and the ability to use it freely in commerce away from any particular execution venue within 28 days, while also requiring that offerors and counterparty sellers do not retain any interest in or control over the commodity.[3] The Commission's thoughtful approach to the actual delivery exception demonstrates that the Commission can develop nuanced approaches to digital asset regulation that protect retail participants while enabling legitimate commercial activity.

By enabling leveraged retail crypto products to trade on designated contract markets ("DCMs") subject to the full range of DCM Core Principles and customer protection requirements, the Commission can offer American investors competitive products while ensuring they benefit from the robust oversight mechanisms that make U.S. markets the gold standard globally. This approach would allow domestic exchanges to compete with offshore platforms while maintaining superior regulatory standards, potentially repatriating significant trading volume and establishing the United States as the preferred jurisdiction for serious crypto market participants.

This comment letter addresses only leveraged retail spot crypto contracts, a type of trading already within the CFTC's regulatory purview. We recognize the benefits of having the Commission regulate the broader spot crypto market, but doing so will require addressing additional considerations outside the existing regulatory framework. The Digital Asset Market Clarity Act of 2025 ("CLARITY Act") currently pending in Congress provides a thoughtful approach to these challenges by establishing clear regulatory jurisdiction for the CFTC and providing a robust framework to bring spot crypto trading fully into the regulated U.S. marketplace. We applaud the role the CLARITY Act envisions for the CFTC, a role the CFTC is uniquely well-positioned to undertake given its decades-long experience in the commodity derivatives markets generally and the unique relationship underlying commodity spot markets have with the futures and swaps markets. We look forward to engaging further with the Commission on such broader regulatory efforts as well.

III. Leveraged Retail Spot Crypto Contracts Are Regulated as Futures Under the CEA and CFTC Regulations, Which Provide Robust Retail Protection

As background, leveraged retail spot commodity transactions "are subject to enforcement under Section 4(a) of the [CEA], among other provisions, as if such transactions are commodity futures contracts" unless actual delivery occurs within 28 days, and it is thus "unlawful for any person to offer to enter into" such a transaction unless it "is made on or subject to the rules of a board of trade that has been designated or registered by the CFTC as a [DCM]."[4] Leveraged spot crypto products thus fall within the Commission's existing and comprehensive regulatory oversight of futures markets.

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[2] Retail Commodity Transactions Involving Certain Digital Assets, 85 Fed. Reg. 37,734 (June 24, 2020) (the "Digital Asset Actual Delivery Guidance").

[3] The terms "virtual currency" and "cryptocurrency" are interchangeable.

[4] *In re BFXNA Inc. d/b/a Bitfinex*, CFTC Docket No. 16-19 (June 2, 2016); *see also* 7 U.S.C. § 2(c)(2)(D)(iii).

The Commission should have confidence that the existing regulatory framework under the CEA and CFTC regulations already provides appropriate protection for retail participants in leveraged spot crypto trading. As a result, the current framework of Core Principles for DCMs, customer protection requirements for the customers of futures commission merchants ("FCMs"), and the Commission's broad anti-fraud and anti-manipulation authorities provide a robust regulatory structure that can be directly applied to leveraged spot crypto products.

Specifically, the 23 DCM Core Principles set forth in Section 5(d) of the CEA create a comprehensive operational framework for DCMs, which addresses the most material aspects of market integrity and participant protection relevant to leveraged spot crypto trading.[5] We explain below how particular DCM Core Principles would currently address customer protections and market integrity in leveraged spot crypto markets:

- DCM Core Principle 2 requires contract markets to establish, monitor, and enforce compliance with exchange rules, including access requirements, contract terms and conditions, and prohibitions against abusive trade practices.[6] This framework would require that DCMs offering leveraged retail spot crypto products maintain sophisticated surveillance systems capable of identifying manipulation, fraud, and other misconduct.

- DCM Core Principle 3 mandates that DCMs list only contracts that are not readily susceptible to manipulation, which would require exchanges to carefully consider the underlying spot markets, liquidity conditions, and potential manipulation risks before listing any leveraged retail spot crypto product.[7]

- DCM Core Principle 4 specifically addresses the prevention of market disruption, requiring comprehensive surveillance, compliance, and enforcement practices including real-time trade monitoring and accurate trade reconstruction capabilities, which can be particularly important in the 24/7 crypto trading environment.[8]

- DCM Core Principle 5 provides exchanges with flexible tools to address the unique risk characteristics of different crypto assets by adopting position limits or accountability measures as necessary and appropriate to reduce manipulation threats and market congestion.[9] This flexibility can be crucial for crypto markets, where different assets may have vastly different liquidity profiles, volatility characteristics, and susceptibility to manipulation.

- The emergency authority requirements under DCM Core Principle 6 provide exchanges with the ability to respond quickly to market disruptions through position liquidation,

[5] 7 U.S.C. § 7(d).

[6] 7 U.S.C. § 7(d)(2); 17 C.F.R. § 38.150.

[7] 7 U.S.C. § 7(d)(3); 17 C.F.R. § 38.200.

[8] 7 U.S.C. § 7(d)(4); 17 C.F.R. § 38.250.

[9] 7 U.S.C. § 7(d)(5); 17 C.F.R. § 38.300.

trading suspensions, or special margin requirements, which can be particularly valuable in volatile crypto markets where rapid intervention may be necessary to maintain orderly trading conditions.[10]

- The financial integrity requirements under DCM Core Principles 11 and 21 create multiple layers of protection for customer positions and funds. Core Principle 11 requires exchanges to establish rules promoting the financial integrity of transactions and the protection of customer funds,[11] while DCM Core Principle 21 mandates that exchanges maintain adequate financial, operational, and managerial resources to discharge their responsibilities.[12]

- The system safeguards requirements under DCM Core Principle 20 are particularly well-suited to crypto markets, requiring exchanges to maintain comprehensive risk analysis and oversight programs, emergency procedures, backup facilities, and disaster recovery plans that enable continuous operation. Given that crypto markets operate 24/7 unlike traditional commodity markets, these requirements can help leveraged retail spot crypto products trade on exchanges with robust operational resilience and business continuity capabilities.

When combined with the comprehensive customer protection framework applicable to FCMs, including segregation and net capital requirements,[13] and priority treatment of customer funds in insolvency proceedings,[14] these DCM Core Principles create robust safeguards that would protect retail participants in leveraged spot crypto markets.

Beyond the DCM Core Principles framework, the Commission's existing anti-fraud and anti-manipulation authority under Section 6(c) of the CEA also would apply to leveraged spot crypto contracts traded on DCMs.[15] The Commission has already demonstrated its commitment to vigorous enforcement in crypto markets through actions against manipulation and fraud across multiple digital asset types.[16] Bringing leveraged retail spot crypto trading onto regulated exchanges would significantly enhance the Commission's ability to detect and investigate misconduct by providing comprehensive audit trails, real-time market surveillance data, and clear regulatory jurisdiction over market participants.

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[10] 7 U.S.C. § 7(d)(6); 17 C.F.R. § 38.350.

[11] 7 U.S.C. § 7(d)(11); 17 C.F.R. § 38.600.

[12] 7 U.S.C. § 7(d)(21); 17 C.F.R. § 38.1100.

[13] *See* 7 U.S.C. § 6d(a)(2); *id.* § 6f(b); 17 C.F.R. § 1.17; *id.* § 1.20.

[14] *See* 17 C.F.R. pt. 190.

[15] 7 U.S.C. § 9; 17 C.F.R. §§ 180.1-2; *see also* NFA Compliance Rule 2-51, https://www.nfa.futures.org/rulebooksql/rules.aspx?Section=4&RuleID=RULE%202-51 (prohibiting NFA Members and Associated Persons from engaging in fraud and market manipulation in digital asset commodity activities and imposing disclosure requirements and supervisory duties).

[16] *See, e.g.*, *CFTC v. Eisenberg*, No. 1:23-cv-00165 (S.D.N.Y. filed Jan. 9, 2023); *In re Tether Holdings Limited, et al.*, CFTC Docket No. 22-04 (Oct. 15, 2021).

IV. The Commission Should Provide Clear Guidance Through Established Procedural Mechanisms

As discussed above, leveraged retail spot crypto contracts (not involving actual delivery within 28 days) are regulated as if they are futures contracts under the CEA. Because these contracts are treated and regulated as futures, any guidance that the Commission has previously issued regarding cryptocurrency futures should apply equally to listed leveraged retail spot crypto contracts. The Commission should leverage its established procedural mechanisms—including staff advisory letters and interpretive guidance—to affirm that its existing guidance with respect to cryptocurrency futures also applies to leveraged retail spot crypto contracts. Accordingly, given its existing authority under Section 2(c)(2)(D) of the CEA over leveraged retail spot crypto contracts and the requirement to regulate such contracts as if they were futures, the Commission could provide immediate regulatory clarity without requiring new rulemaking or issuing formal interpretive guidance.

For example, the Commission has recently taken important steps to clarify that digital asset derivatives should be treated consistently with other derivatives products. In March 2025, staff of the CFTC's Division of Market Oversight ("DMO") and Division of Clearing and Risk ("DCR") issued CFTC Letter No. 25-07, withdrawing CFTC Staff Advisory No. 18-14 regarding virtual currency derivative product listings.[17] Staff Advisory No. 18-14 had provided guidance to exchanges and clearinghouses on "certain enhancements when listing a derivative contract based on virtual currency" and clarified "staff's priorities and expectations in its review of new virtual currency derivatives."[18] Letter No. 25-07 explained that DMO and DCR staff determined to withdraw Staff Advisory No. 18-14 given "additional staff experience in the intervening years, as well as increasing market growth and maturity."[19] Also in March 2025, DCR staff issued Letter No. 25-08, withdrawing Staff Advisory No. 23-07, which had emphasized heightened risks associated with the clearing of digital assets. Letter No. 25-08 clarified that "DCR is withdrawing [Advisory No. 23-07] to ensure that it does not suggest that its regulatory treatment of digital asset derivatives will vary from its treatment of other products."[20]

Through staff-level guidance, the Commission could clarify that this same guidance also applies to leveraged retail spot crypto contracts, which would benefit both DCMs seeking to list these products and market participants by eliminating regulatory uncertainty and providing clear expectations for compliance.

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[17] Division of Market Oversight & Division of Clearing and Risk, CFTC Letter No. 25-07, Withdrawal of CFTC Staff Advisory No. 18-14 with Respect to Virtual Currency Derivative Product Listings (Mar. 27, 2025), https://www.cftc.gov/csl/25-07/download.

[18] Division of Market Oversight & Division of Clearing and Risk, CFTC Staff Advisory No. 18-14, Advisory with Respect to Virtual Currency Derivative Product Listings (May 21, 2018), https://www.cftc.gov/csl/18-14/download.

[19] *Supra* note 17.

[20] Division of Clearing & Risk, CFTC Letter No. 25-08, Withdrawal of CFTC Staff Advisory 23-07 (Mar. 28, 2025), https://www.cftc.gov/csl/25-08/download.

In addition, the Commission could issue staff-level guidance clarifying that DCMs should follow the same listing procedures for leveraged retail spot crypto contracts as they currently use for crypto futures products. The Commission's existing Part 40 self-certification and approval process provides an established pathway for DCMs to list these products under the same standards and oversight that have proven effective for crypto futures.[21] The Commission has substantial experience with crypto futures, having overseen crypto futures products since 2017, when the Chicago Mercantile Exchange and Cboe Futures Exchange first self-certified cash-settled bitcoin futures contracts.[22]

More recently, the Commission has facilitated the development of physically-settled crypto futures, as well as perpetual-style crypto futures.[23] Using this extensive experience and public input from its recent requests for comment,[24] the Commission could apply the lessons learned from crypto futures regarding margin requirements, 24/7 underlying spot markets, clearing arrangements, and other operational considerations which would also be applicable to leveraged retail spot crypto contracts.

As then-Commissioner Dawn Stump correctly observed in her concurring statement regarding a Commission enforcement action against a crypto exchange, "with respect to retail commodity transactions, it is incumbent upon the Commission to explain in a transparent manner the relevant legal requirements for . . . an entity that seeks to register as an FCM and how the Commission will apply them in enabling the entity to conduct business with U.S. customers."[25] Commissioner Stump's 2021 observation strongly supports the Commission's Initiative to provide regulatory clarity for leveraged spot crypto trading on DCMs that would establish clear rules of the road for market participants to begin such operations. As long-term investors in the crypto ecosystem, a16z believes that the industry would benefit significantly from having regulated U.S. venues with broader product offerings, which would provide more predictable and safer trading environments for retail participation.

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[21] 17 C.F.R. pt. 40.

[22] Press Release, Commodity Futures Trading Commission, CFTC Statement on Self-Certification of Bitcoin Products by CME, CFE and Cantor Exchange (Dec. 1, 2017), https://www.cftc.gov/PressRoom/PressReleases/7654-17.

[23] Bakkt™ Bitcoin (USD) Monthly and Daily Futures Contracts Trading To Begin on Monday, September 23, 2019, ICE Futures U.S. Notice No. 19-38 (Aug. 16, 2019), https://www.ice.com/publicdocs/futures_us/exchange_notices/ICE_Futures_US_BTC_Launch2019_20190816.pdf; Bitnomial, Inc., Bitnomial Exchange Self-Certifies First Ever U.S. Perpetual Futures Contracts (Apr. 23, 2025), https://www.prnewswire.com/news-releases/bitnomial-exchange-self-certifies-first-ever-us-perpetual-futures-contracts-302435713.html; *see also* How 24/7 trading works at Coinbase Derivatives, https://www.coinbase.com/learn/futures/24-7-trading.

[24] *See* CFTC, Request for Comment on Trading and Clearing Derivatives on a 24/7 Basis (Apr. 21, 2025), https://www.cftc.gov/media/12036/24_7_RFC042125/download; CFTC, Request for Comment on the Trading and Clearing of "Perpetual" Style Derivatives (Apr. 21, 2025), https://www.cftc.gov/media/12041/Perpetuals_RFC042125/download.

[25] Dawn D. Stump, Comm'r, CFTC, Concurring Statement Regarding Enforcement Action Against Payward Ventures, Inc. (d/b/a Kraken) (Sept. 28, 2021), https://www.cftc.gov/PressRoom/SpeechesTestimony/stumpstatement092821b.

V. Conclusion

A16z strongly supports the Commission's Initiative as a crucial step toward establishing the United States as the preeminent jurisdiction for digital asset trading and innovation. The Initiative represents a positive step to address competitive disadvantages that have driven American investors and trading activity to offshore platforms, allowing U.S. investors to benefit from the superior regulatory protections and market integrity standards that characterize American derivatives markets.

We appreciate the opportunity to provide input on the Initiative and look forward to continued engagement with the Commission and its staff as the Initiative moves forward.

Respectfully submitted,

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